Rajasthan Electricity Regulatory Commission, Jaipur

Petition No. RERC/ 2451/2026

Petition under Section 86(1)(b) of the Electricity Act 2003 seeking approval of this Hon'ble Commission for procurement of up to 1300 MW of power by the Rajasthan Distribution Companies from the Government of Himachal Pradesh through PTC India Limited under a mutually agreed bilateral arrangement for the period November 2026 to February 2027 as a departure from the tariff-based bidding process under the MoP Guidelines dated 30.03.2016 for Short Term Procurement of Power by Distribution Licensees.

Coram:

Dr. Rajesh Sharma	**Chairman**
Shri Hemant Kumar Jain	**Member**
Shri Vijay Pal Singh	**Member**

Petitioner: Rajasthan Urja Vikas & IT Services Limited (RUVITL)

Respondent: State Load Dispatch Centre (SLDC)

Date of hearing: **28.10.2026**

Present: Adv Rimali Batra , Advocate for Petitioner.
Sh Dinesh Khandelwal, Representative from Respondent SLDC.

Order Date: **29.10.2026**

Order

1. The Petitioner, Rajasthan Urja Vikas and IT Services Limited ("RUVITL") undertakes procurement of power on behalf of the Rajasthan Discoms, who are the distribution licensees in the State of Rajasthan. The instant Petition is being filed by the Petitioner on behalf of the Rajasthan Discoms collectively.

2. Rajasthan State Load Despatch Centre ("SLDC/Respondent") is the apex body for integrated operation of the power system in the State of Rajasthan under Section 32 of the Electricity Act, 2003 ("Act"). It is responsible for optimum scheduling and dispatch of electricity, monitoring grid operations, and exercising supervision and control over the intra-State transmission system, in accordance with the Rajasthan Electricity Grid Code ("State Grid Code").

3. **Petitioner in its petition and during hearing(s) mainly made following submissions:**

3.1 The Petitioner has preferred the instant Petition under Section 86(1)(b) of the Electricity Act, 2003 seeking approval of this Hon'ble Commission for procurement of up to 1,300 MW of power by the Rajasthan Distribution Companies from the Government of Himachal Pradesh through PTC India Limited under a mutually agreed bilateral arrangement, for the period November 2026 to February 2027.

3.2 The Petitioner submitted that during the month of September 2026, the power supply position in the State of Rajasthan had became critical due to a significant increase in demand, weak and uneven rainfall, high temperature and humidity, increased agricultural and irrigation requirements, and reduced availability from the State's generating stations. The average demand during the month was approximately 14,518 MW, as against 12,340 MW during the corresponding period of the previous year, while the maximum demand reached 17,557 MW.

3.3 The Petitioner further submitted that the availability from RVUNL generating stations averaged approximately 4,795 MW against the expected level of 5,800 MW. The Extended outages of Kalisindh Unit-1 (600 MW) and Kota Unit-6 (195 MW), along with intermittent outages of other generating units and constraints in coal availability and quality, further aggravated the situation.

3.4 The Petitioner also submitted that the availability of coal has also remained

under pressure at the national level. Public reports indicate that India's night time power shortage increased to 7.7 GW in September 2026, that hydropower generation fell by 12% during the first three weeks of September, and that rainfall during June to September remained 15% below normal due to the prevailing conditions.

3.5 The Petitioner submitted that in September 2026, only around 10% of the bids placed by the Petitioner in the market were cleared in the evening hours. Even under the High-Price DAM (HP-DAM) category, where bids were placed at rates above Rs.10/kWh, clearance remained limited to around 5%, indicating severe constraints on market-side availability. Consequently, the annual maintenance shutdown of RVUNL generating units, originally planned during the monsoon period, was deferred.

3.6 The Petitioner further submitted that these shortages are not limited to impacting the State of Rajasthan, but also other states have faced similar situations, like the States of Punjab, Kerala, Tamil Nadu and Andhra Pradesh have faced high demand and have undertaken additional and advance procurement, which in turn has reduced availability in the short-term market.

3.7 The Petitioner submitted that the Ministry of Power, Government of India, on 25.09.2026, issued directions under Section 11 of the Electricity Act, 2003 to all the coal-based captive generating plants of 50 MW and above to operate at maximum available capacity and sell surplus power through power exchanges, effective from 01.10.2026 to 31.12.2026.

3.8 The Petitioner submitted that the anticipated demand-availability position for the Rabi season, after accounting for procurement already undertaken on the Exchanges and the DEEP Portal, is as under:

Month	Avg. Availability (MW)	Avg. Demand (MW)	Avg. Deficit (05–10 hrs.) (MW)	Avg. Deficit (16–21 hrs.) (MW)
Nov 2026	13,691	15,376	1,821	960
Dec 2026	15,559	16,112	3,255	1,650
Jan 2027	14,660	15,691	3,032	1,872
Feb 2027	15,784	15,741	2,602	576
Mar 2027	15,782	13,475	973	120

3.9 The Petitioner submitted that RVUNL vide letter dated 29.09.2026, intimated that the annual maintenance shutdown of each unit is essential for boiler maintenance to ensure safe and reliable operation of the unit at rated capacity, and that capital shutdown is required once every 5 years for turbine inspection and maintenance to prevent major equipment failure. The planned shutdown could not be taken due to the prevailing power crisis, which may adversely affect efficiency, reliability and generation capability during the Rabi season.

3.10 The Petitioner submitted that the efforts of the Petitioner to procure power competitively were met with limited success. Bids invited on the exchanges on 02.10.2026 and 08.10.2026 for November and December 2026 received no participation. Bids subsequently invited under Long Duration Contract (LDC) on the Exchange for November and December (RTC) discovered a lowest rate of Rs. 8.99/kWh; at this rate, the effective rate for peak hours works out to Rs. 20/kWh to Rs. 25/kWh, considering sale of surplus power during day time at the

DAM rates of the corresponding months of 2025-26.

3.11 The Petitioner further submitted that to explore alternative sources, the Petitioner approached utilities and potential suppliers in other States for additional power under bilateral arrangements. In response, GoHP furnished a proposal for supply of up to 1,300 MW of power through PTC for the period November 2026 to May 2027 at a tariff of Rs. 15.50/kWh (inclusive of trading margin) at the delivery point, being the CTU periphery of the seller (seller's ex-bus). There is no separate trading margin chargeable to the Petitioner. ISTS charges and losses shall be to the account of the Petitioner. After considering estimated ISTS transmission losses and charges of approximately Rs. 1.12/kWh, the landed cost at the RVPNL periphery works out to approximately Rs. 16.62/kWh.

3.12 The principal terms and conditions of the proposal are as under:

a) supply of up to 1,300 MW on a day-ahead basis as per the supply profile provided;

b) Scheduling, billing and payment through PTC India Ltd.;

c) Weekly billing, with the due date being 7 days from the date of receipt of the bill;

d) Rebate of 1.5% if payment is made within 7 days; and

e) Late payment surcharge at 1.25% per month beyond the due date, calculated on a day-to-day basis.

3.13 The Petitioner submitted that the power is to be sourced from hydel projects on a day-ahead basis and its availability will vary across time blocks and months. The month-wise and time block-wise supply profile furnished by GoHP is summarized as under (figures in MW):

Month	Morning (5–10 hrs.)	Solar (10–16 hrs.)	Evening (16–21 hrs.)	Night (Remaining hrs.)
Nov-26	300 to 1279	10 to 88	200 to 1286	100 to 200
Dec-26	129 to 1144	3 to 80	112 to 1149	6 to 38
Jan-27	12 to 948	0 to 50	28 to 934	0 to 20
Feb-27	10 to 957	2 to 50	27 to 925	0 to 20
Mar-27	113 to 1112	10 to 40	53 to 1068	17 to 101
Apr-27	51 to 346	27 to 137	74 to 1191	164 to 1054
May-27	493 to 545	104 to 478	279 to 1247	457 to 1261

3.14 The Petitioner further submitted that the supply profile provides major support during Rajasthan's morning and evening peak hours, while supply during surplus hours (10–16 hrs. and night) is very low.

3.15 The Petitioner submitted that the Sub-Committee examined the block-wise residual deficit after accounting for existing allocations and purchases already contracted, and assessed the DEEP purchase and GoHP supply jointly so that they are not counted against the same requirement twice. The assessment and underlying assumptions shows that a deficit still remains in peak hours for November to February.

3.16 The Petitioner further submitted that the Sub-Committee in its meeting held on 17.10.2026, under the Delegation of Powers approved by the Board of the Petitioner in its 67th meeting held on 26.05.2025 has full powers to approve short-term procurement through bilateral arrangements, decided to convey

consent to GoHP for procurement of up to 1,300 MW through PTC at Rs. 15.50/kWh (including trading margin) at the CTU periphery for November 2026 to February 2027. Since Rabi season ends in March and demand generally decreases thereafter, the remaining March deficit of around 900 MW in morning peak hours and 120 MW in evening peak hours is proposed to be met through DAM/RTM. Considering the pursuance by GoHP, the Sub-Committee authorised the Petitioner to convey consent without prior approval of the Commission and directed filing of this Petition.

3.17 The Petitioner submitted that the MoP Guidelines dated 30.03.2016 require short-term procurement (more than one day to one year) to be done through a tariff-based bidding process, and since the GoHP arrangement is a mutually agreed bilateral arrangement, the approval of this Hon'ble Commission under Section 86(1)(b) of the Electricity Act, 2003 is required and is being sought transparently.

3.18 The Petitioner further submitted that the Petitioner first exhausted competitive routes, namely the Exchanges (02.10.2026, 08.10.2026 and LDC) and the DEEP Portal e-RA (12.10.2026), and limited participation and substantially higher rates quoted by other bidders demonstrate that the required quantum could not be secured through the competitive process alone.

3.19 The Petitioner further submitted that although the estimated landed tariff of Rs. 16.62/kWh is higher than the lowest rates discovered for limited quantum on the DEEP Portal, the lowest quoted rate for a limited quantum is not an available alternative for the entire requirement; the tariff must be assessed in conjunction with the quantum actually deliverable in the deficit hours.

3.20 The Petitioner submitted that the effective peak-hour cost of the RTC alternative (Rs. 20/kWh to Rs. 25/kWh after accounting for sale of surplus power) and the DEEP rates of up to about Rs. 20/kWh for peak blocks exceed the landed cost under the GoHP proposal, whose profile is concentrated in the morning and evening peak hours.

3.21 The Petitioner submitted that the arrangement enables the essential maintenance and capital shutdown of RVUN units requested on 29.09.2026, safeguarding the long-term reliability of State generation, and provides cover against unforeseen outages during the Rabi season.

3.22 The Petitioner further submitted that the conditions expected until February 2027, national shortages and advance procurement by other States make reliance on the spot market imprudent, and timely procurement serves the interest of consumers, particularly agricultural consumers during the Rabi season.

3.23 The Petitioner submitted that the commercial terms, including no separate trading margin to Petitioner, weekly billing, and a 1.5% rebate for payment within 7 days, are reasonable and in line with prevailing practice.

3.24 The Petitioner submitted that the supply period commences in November 2026, GoHP has requested expedited consent, and other utilities are pursuing bilateral arrangements with the same source. The Petitioner therefore prays for urgent listing and approval as sought in the present Petition.

PRAYER

3.25 Petitioner most respectfully prayed that the Commission may graciously be pleased to:

a) Approve the procurement of up to 1,300 MW of power by the Rajasthan Discoms from the Government of Himachal Pradesh through PTC India Limited, on a day-ahead basis as per the supply profile, at a tariff of Rs. 15.50/kWh (inclusive of trading margin) at the CTU periphery, for the period November 2026 to February 2027, under a mutually agreed bilateral arrangement;

b) Pass such other or further orders as this Hon'ble Commission may deem fit and proper in the facts and circumstances of the case.

4. **SLDC in their written submission and during hearing(s) have mainly submitted as under:**

4.1 The Respondent confirms that the power supply position in the State became critical in September 2026. The Respondent also acknowledges that average demand was approximately 14,518 MW, against 12,340 MW in the corresponding period of the previous year, and maximum demand reached 17,557 MW. The Respondent also acknowledges that availability from RVUNL stations was low due to forced outages and coal supply constraints.

4.2 The Respondent further confirms that RVUN, by letter dated 29.09.2026, has sought urgent approval for annual maintenance and capital shutdown of its units, which could not be taken during the monsoon due to the power crisis. Such shutdowns if permitted will further reduce State generation during the Rabi season.

4.3 The Respondent submitted that during September 2026, various communications were received from NRLDC regarding continuous over drawal from the grid during morning and evening peak hours under low-frequency conditions. The NRLDC had issued successive Alert, Emergency, and Extreme Emergency violation messages, indicating that Rajasthan's actual drawal was substantially higher than the scheduled drawal. The matter was duly brought to the notice of RUVITL and advised to control over drawal. Substantial deficits are anticipated in the morning and evening peak hours during the Rabi season also.

4.4 The Respondent submitted that Under Section 32(2) of the Act, the Respondent is responsible for ensuring grid security and economic operation of the State grid. The State Grid Code obliges all users to maintain grid discipline, balance their load and generation, and adhere to their schedules.

4.5 The Respondent further submitted that a persistent, unbridged deficit during peak hours leaves the State only two outcomes: over-drawal from the grid or load shedding. In such a situation, the over-drawal causes frequency deviations, endangers the security of the interconnected grid, and exposes the Distribution Companies to deviation charges and to regulatory action by the Regional and National Load Despatch Centers. Further, in case of unplanned load shedding disrupts supply to consumers, particularly agricultural consumers during the Rabi season. Further, the firm, scheduled power arranged in advance as being proposed by the Petitioner for approval in its captioned Petition, also allows the Respondent to plan day-ahead schedules, maintain adequate reserves and keep the grid within operating limits. This consequently reduces dependence on uncertain DAM/RTM clearance.

4.6 The Respondent submitted that the GoHP arrangement may allow the Respondent to permit the essential maintenance shutdowns of RVUN units in a planned manner. Deferring that maintenance any further raises the risk of forced outages, which pose a greater threat to grid stability than planned shutdowns.

4.7 The Respondent submitted that the SLDC (Respondent) has no objection to the grounds and relief sought by the Petitioner in the present Petition to the extent of the purchase of said power from point of view of the grid security to avoid anticipated over drawal from the grid.

Commission's Views:

5 The Commission has considered the submissions made by the Petitioner/Respondent and oral arguments during hearing.

6 The present Petition seeks approval of the Commission under Section 86(1)(b) of the Electricity Act, 2003 for short term procurement of up to 1,300 MW of power by the Rajasthan Distribution Companies from the Government of Himachal Pradesh through PTC India Limited under a mutually agreed bilateral arrangement for November 2026 to February 2027.

7 The Commission notes the Petitioner's submission that increased demand, reduced availability from RVUNL generating stations, generating unit outages and coal constraints resulted in a critical power supply situation during September 2026, with substantial morning and evening peak deficits anticipated during the upcoming Rabi season. Attempts to procure power through the Exchanges on 02.10.2026 and 08.10.2026 received no participation, while subsequent procurement efforts through the Exchanges and the DEEP Portal secured limited availability or yielded alternatives which, according to the Petitioner, involved higher effective peak-hour costs.

8 The petitioner also submitted that the proposed supply is from hydel sources on a day-ahead basis, with availability varying across months and time blocks and concentrated principally during morning and evening peak hours. The proposed tariff is Rs.15.50/kWh, inclusive of trading margin, at the seller's CTU periphery, with ISTS charges and losses payable by the Petitioner, resulting in an estimated landed cost of Rs.16.62/kWh at the RVPNL periphery. The Petitioner has submitted that its Sub-Committee consisting of the Managing Directors of the Discoms and RUVITL and the Director (Finance), RUVITL, under the chairmanship of the Secretary (Energy), GoR & Chairman, RUVITL examined the residual deficits after accounting for existing procurement and, on 17.10.2026, and consented to the said arrangement for November 2026 to February 2027 as per GoHP proposal. According to the Petitioner, the proposed procurement would bridge peak-hour deficits, facilitate essential maintenance of RVUNL units and reduce dependence on uncertain spot-market availability during the Rabi season. As the proposed procurement is through a mutually agreed bilateral arrangement, the Petitioner seeks the Commission's approval under Section 86(1)(b) of the Act.

9 The Commission notes that SLDC, in its reply and during the hearing, has confirmed the critical power supply position in September 2026 owing to increased demand, reduced availability from RVUNL stations, forced outages and coal supply constraints. SLDC has referred to successive Alert, Emergency

and Extreme Emergency violation messages issued by NRLDC concerning overdrawal during morning and evening peak hours under low-frequency conditions, and has indicated that substantial peak-hour deficits are also anticipated during the Rabi season. In discharge of its responsibilities under Section 32(2) of the Electricity Act, 2003, SLDC has emphasised that advance procurement would facilitate day-ahead scheduling, maintenance of adequate reserves and secure grid operation, while reducing the risks of overdrawal, deviation charges, regulatory action and unplanned load shedding, particularly affecting agricultural consumers. It has further submitted that the proposed arrangement would facilitate essential maintenance of RVUNL units, thereby mitigating the risk of forced outages arising from further deferment of maintenance. Accordingly, SLDC has expressed no objection to the proposed procurement from the standpoint of grid security and avoidance of anticipated overdrawal.

10 The Commission notes that Section 86(1)(b) of the Electricity Act, 2003 empowers it to regulate the electricity purchase and procurement process of distribution licensees, including the price at which electricity is procured from generating companies, licensees or other sources through agreements for purchase of power for distribution and supply within the State. Accordingly, the proposed bilateral procurement from the Government of Himachal Pradesh through PTC India Limited, including the procurement price and terms of the arrangement, falls within the Commission's regulatory jurisdiction under the aforesaid provision.

11 The Commission also notes that SLDC is the statutory body entrusted under Section 32 of the Electricity Act, 2003 with ensuring the integrated operation of the power system in the State. Its functions include optimum scheduling and despatch of electricity, monitoring grid operations, supervision and control over the intra-State transmission system, and real-time grid control to ensure secure and economic operation in accordance with the Grid Standards and the State Grid Code. Accordingly, the views and submissions of SLDC on matters

concerning grid operation and security merit due weight. In its reply supporting the Petition, SLDC has highlighted instances of overdrawal during peak hours under low-frequency conditions and the substantial deficits anticipated during the Rabi season. These submissions reinforce the need for advance procurement of firm power to bridge the anticipated deficits and maintain grid discipline.

12 The Commission also notes the Petitioner's submission that a similar bilateral arrangement had been entered into for procurement 900 MW of peak power by Keralam state (KSEBL) through the PTC India Ltd from the Government of Himachal Pradesh at a rate of Rs.14.50/kWh. The petitioner also submitted that Andhra Pradesh PCC is also purchasing 365 MW short term power from NTPC at Rs 34.84/KWh .

13 The Commission further notes that Regulation 17 of the Resource Adequacy Regulations provides for additional power procurement during the year, in accordance with the said Regulations and the RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025. The provision permits a distribution licensee, after carrying out a detailed study, to enter into additional agreements for procurement of power in the event of an unanticipated increase in demand, a shortfall or failure of supply from an approved source, or where power from existing tied-up sources becomes costlier than available alternatives. It also permits short-term procurement without prior approval of the Commission under the specified circumstances, including emergency conditions threatening grid stability, directions of SLDC/RLDC to prevent grid failure, exigency conditions and short-term banking with other States.

14 The Commission also notes that Regulation 77(6) of the RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025 permits Distribution Licensees to enter into short-term arrangements or agreements for procurement of power without prior approval of the Commission in the circumstances specified therein. In particular, clause (a) provides for

procurement in accordance with the Central Government's guidelines for short-term procurement through tariff-based bidding, subject to the approved ceiling tariff. The said Regulation also provides for procurement within the price band specified by the Commission for contingency situations, procurement through banking transactions, and procurement to meet unforeseen contingencies, requirements of less than fifteen days, purchases from power exchanges, or emergencies threatening system stability, including procurement pursuant to SLDC directions to prevent grid failure. For purchases covered by clause (d), the rate may be higher or lower than the approved ceiling rate; however, the annual average rate of such short-term purchases is required to remain within the approved ceiling.

15 The Commission further notes that Regulation 77(7) of the Tariff Regulations 2025 provides that All the prudent costs of power procurement, incurred by distribution licensee for ensuring 24x7 supply of electricity to consumers and for meeting requirements as per Resource Adequacy plan shall be taken into account, subject to transparent procurement or approval of the procurement price by the Commission. Regulation 77(8) preserves the Commission's power, during true-up, to disallow increases in procurement costs and consequential losses arising from arrangements that do not meet the prescribed regulatory criteria.

16 The Commission further notes that paragraphs 4.124 to 4.135 of the Tariff Order dated 30.03.2026 address procurement from short-term sources for FY 2026-27. The Commission recognized in the tariff order that additional procurement may nevertheless become necessary owing to increased demand, shortfall in generation from regular sources, or contingent requirements during peak hours. In the said Order, the Commission fixed the short-term procurement ceiling tariff for the purposes of Regulation 77(6) at Rs.4.59/kWh, equivalent to the variable cost of STPS considered therein, without seeking approval of the Commission . It also recognised the flexibility available under Regulation 77(6)(d) for procurement at rates above the ceiling in the circumstances specified therein.

However, in the present case the power is not available to Discoms and they are approaching the Commission for its approval.

17 On a conjoint reading of the Resource Adequacy Regulations, the RERC (Terms & Conditions for Determination of Tariff) Regulations, 2025 and the Commission's Tariff Order dated 30.03.2026, the Commission observes that short-term power procurement in the emergency circumstances specified therein in regulation 77(6) does not require its prior approval. Regulation 17.1(b) of the Resource Adequacy Regulations provides that the distribution Licensee may enter into a Short-term arrangement or agreement for procurement of power when faced with emergency conditions that threaten the stability of the grid, or when directed to do so by the SLDC/RLDC to prevent grid failure or during exigency conditions and for banking with other States on Short-term basis without prior approval of the Commission.

18 However, the present arrangement is a negotiated bilateral arrangement for four months, outside the tariff-based bidding process, at a rate well above the ceiling tariff fixed in the tariff order and does not fall within the circumstances specified in regulation 77(6) and the proviso to Regulation 77(7) of the Tariff Regulations, 2025 allows such cost only where the procurement has been done in a transparent manner or its price has been approved by the Commission.

19 The arrangement, therefore, requires approval of the Commission under Section 86(1)(b) of the Act. The actual quantum scheduled and the cost incurred under the arrangement shall be subject to prudence check during true-up.

20 Accordingly, in considered view of the Commission the Petitioner may proceed with the proposed arrangement in and bring its impact with the true up petition for FY 2026-27 for prudence check.

21 The Commission also directs the Petitioner to continue exploring lower-cost sources of peak power and, wherever available, procure such power in

preference to the present arrangement, subject to its contractual obligations and operational requirements.

22 Further, to improve preparedness and reduce dependence on costly short-term procurement in future, the Petitioner shall take timely action for installation and commissioning of Battery Energy Storage Systems, including distributed BESS, and for development of Firm and Dispatchable Renewable Energy (FDRE) arrangements as per the Resource Adequacy Plan. Storage facilities shall be utilised to store low-cost power available during surplus hours and supply it during peak-hour shortfalls, with the resulting benefits passed on to consumers.

23 The Petitioner shall also develop a demand flexibility portfolio in accordance with the Commission's applicable Demand Flexibility and Demand Side Management Regulations to reduce peak demand and the associated higher procurement costs. Further, the Petitioner shall prepare short-term, medium-term and long-term resource adequacy plans in accordance with the Resource Adequacy Regulations.

24 Accordingly, having regard to the report of the sub-committee ,Petitioner's submissions regarding the urgent requirement of power to maintain grid discipline and ensure power adequacy, having made all attempts to purchase power competitively but not getting the same , and the supporting submissions of SLDC the Commission, in exercise of its powers under Section 86(1)(b) of the Act, approves prayer (a) of the Petition, i.e. procurement of up to 1,300 MW of power by the Rajasthan Discoms from the Government of Himachal Pradesh through PTC India Limited for the period November 2026 to February 2027 at the mutually agreed arrangement.

25 However, before parting it is clarified that the present bilateral arrangement is being approved having regard to the exceptional circumstances of this case and shall not be treated as a precedent. Short-term power procurement should ordinarily be undertaken through competitive bidding in accordance with the applicable bidding Guidelines or through power exchanges, subject to the

applicable Regulations and orders of the Commission

26 The petition is disposed of in above terms.

(Vijay Pal Singh)	(Hemant Kumar Jain)	(Dr. Rajesh Sharma)
Member	Member	Chairman